5. Where, however, the instrument has been partly paid, a note to that effect can be given on the instrument and endorsement made for the balance amount.

6. Endorsement is complete only when delivery of the instrument is made. On the death of the endorse who has endorsed an instrument but has not delivered it to the endorsee, the endorsement becomes invalid.

7. It is presumed that the endorsements appearing on a negotiable instrument were made in the order in which they appear thereon.

8. Signing in block letters does not constitute regular endorsement.

9. The prefixes or suffixes added to the names of the payees or endorsees must be omitted in the endorsement.

10. Endorsement must be in link

11. If the payee is an illiterate person, he can endorse it by affixing his thumb impression on the instrument. But it must be duly attested by somebody who should give his full address thereon.

12. A person duly authorised to endorse a cheque or a bill must indicate that he is signing in it on behalf of his principal by using such words as "for", "on behalf of" or "per pro".

Why emergency holidays are declared under Negotiable Instruments Act?

Where the maturity date of the negotiable instrument falls on notified public holiday, it is to be paid on the preceeding working day. When emergency holidays are declared for reasons like death of a leader in power, natural calamities, strike, election day and so on, day should be made a public holiday. So that negotiable instruments maturing on the day can be paid on the next working day. In other words, it implies that negotiable instruments maturing on the date of emergency holiday should be paid on the next day.

MICR – Magnetic Ink Character Recognition

MICR code is a character - recognition technology used mainly by the banking industry to ease processing and clearance of cheques and other documents. It is found at the bottom of the cheque. It includes bank code, bank account number, cheque number, cheque amount and a control indicator. The MICR code helps the banker to ensure the legitimacy or originality of paper documents. The special ink used in the MICR code is sensitive to magnetic fields. It prevents the crime of printing counterfeit cheques or documents using technology. The magnetic ink will help discover fake documents.

IFSC – Indian Financial System Code

IFSC code is an alphanumeric code which facilitates electronic fund transfer in India. This code uniquely identifies each bank branch participating in the two main Payment and Settlement systems in India. The Real Time Gross Settlement(RTGS) and the National Electronic Fund Transfer (NEFT) systems. IFSC is a 11 character code. The first 4 alphabetic characters represent the bank name and the last 6 characters (usually numeric) represent the branch. The fifth character is 0 and reserved for future use. This code routes the messages to the destination banks or branch. The format of IFSC code is given below:

1	2	3	4	5	6	7	8	9	10	11
Bank Code				0		Branch Code				

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